04

Coherence is a condition you can check

Coherence is not a slogan but an operating condition. It rests on five properties — none exotic, rare only in combination.

FRAMEWORK · THE FIVE PROPERTIES

1 **Explicit decision rights**
One name owns each decision — in one second.
Missing → decisions keep waiting

2 **End-to-end ownership**
Every outcome that matters has one owner for the whole.
Missing → work keeps changing hands

3 **One priority list**
One ranked portfolio, owned by the executive team as a team.
Missing → priorities keep competing

4 **Information shared by default**
The data a decision needs reaches it without negotiation.
Missing → work waits for data

5 **Designed boundaries**
Every person and every agent knows its authority and its never-do rules.
Missing → all three, amplified by agents

The price of incoherence

Its absence is already on your bill. The author puts it at **three to eight percent of revenue — before AI**. Finance can price it in ten working days, from minutes, calendars and one workflow walk.

DECISION LATENCY

6–12 wk

average delay on major cross-functional decisions

INTERFACE FRICTION

15–30%

of a workflow's cost spent on rework and re-entry

INITIATIVE CONGESTION

150–200%

allocation of key people

This one-page **incoherence statement** is also your AI baseline: whatever AI promises, these three costs discount it. The question is never whether you can afford coherence — you are already paying for its absence.

Two confusions mislead programmes. Coherence is not *alignment*, the offsite where everyone nods; it is what remains three weeks later. Nor is it *standardisation*: the mature position is to standardise the backbone and differentiate the edge. McKinsey's **7S lens** makes the gaps discussable — and agentic AI stresses all seven elements at once.

FOR THE CFO

Commission the incoherence statement: three audits, one page, one number per line, within ten working days. **It becomes the baseline every later funding gate is measured against.**

KEY TAKEAWAYS

- ✓ Five properties make coherence checkable in any meeting.
- ✓ Incoherence costs an estimated 3–8% of revenue before AI.
- ✓ Coherence is neither alignment nor uniformity.